

Trust Account Exception Report

Firm: Coastal Law Ltd

Period: May 2026

Generated: 26 June 2026

Total exceptions: 10 (2 CRITICAL, 8 HIGH)

CRITICAL Exceptions

CRITICAL — Overdrawn client ledger entry

Rule ID	R01_OVERDRAWN_CLIENT_LEDGER
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(6)(a)
Record	L021
Finding	matter M016 balance -\$2,500.00 NZD after entry L021 dated 2026-04-28 - client funds in deficit
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

CRITICAL — Reconciliation break — ledger does not equal bank balance

Rule ID	R03_RECON_BREAK
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)
Record	R002
Finding	period 2026-04-30: ledger_total=\$798,500.00 bank_balance=\$798,750.00 - bank exceeds ledger by \$250.00 NZD
Action	ESCALATE — Investigate and resolve immediately. Provide written explanation to TAS within 2 business days.

HIGH Exceptions

HIGH — Dormant balance — no activity exceeds threshold

Rule ID	R02_DORMANT_BALANCE
Regulation	NZLS Trust Accounting Guidelines 2024, s4.3
Record	M017
Finding	balance \$8,500.00 NZD; last activity 2024-12-15; open 558 days (threshold 365)
Action	REVIEW

HIGH — Bank line with no matching ledger entry

Rule ID	R04_UNMATCHED_BANK_LINE
Regulation	LCA (Trust Account) Regulations 2008, Reg 11
Record	B009
Finding	bank line B009 (2026-03-28): credit=\$120,000.00 debit=\$0.00 - 'Credit - Schmidt purchase deposit' - no matched ledger entry; open 90 days (threshold 5)
Action	REVIEW

HIGH — Bank line with no matching ledger entry

Rule ID	R04_UNMATCHED_BANK_LINE
Regulation	LCA (Trust Account) Regulations 2008, Reg 11
Record	B022
Finding	bank line B022 (2026-04-30): credit=\$250.00 debit=\$0.00 - 'Credit - Trust account interest (Apr 2026)' - no matched ledger entry; open 57 days (threshold 5)
Action	REVIEW

HIGH — Bank line with no matching ledger entry

Rule ID	R04_UNMATCHED_BANK_LINE
Regulation	LCA (Trust Account) Regulations 2008, Reg 11
Record	B031
Finding	bank line B031 (2026-05-22): credit=\$15,000.00 debit=\$0.00 - 'Credit - Unidentified receipt (source unknown)' - no matched ledger entry; open 35 days (threshold 5)
Action	REVIEW

HIGH — Unreconciled ledger entry exceeds age threshold

Rule ID	R05_UNRECONCILED_AGEING
Regulation	LCA (Trust Account) Regulations 2008, Reg 12(1)
Record	L009
Finding	entry L009 (matter M008) dated 2026-03-28 is unreconciled; open 90 days (threshold 30)
Action	REVIEW

HIGH — Fee or disbursement entry lacks valid invoice reference

Rule ID	R07_FEE_WITHOUT_INVOICE
Regulation	LCA (Trust Account) Regulations 2008, Reg 9
Record	L011
Finding	entry L011 (matter M003): description='Payment - Disbursement to beneficiary J. Williams', payment=\$40,000.00, reference="" - no INV-XXXXX invoice reference found (Reg 9 breach)
Action	REVIEW

HIGH — Fee or disbursement entry lacks valid invoice reference

Rule ID	R07_FEE_WITHOUT_INVOICE
Regulation	LCA (Trust Account) Regulations 2008, Reg 9
Record	L021
Finding	entry L021 (matter M016): description="Payment - Settlement disbursement to vendor's solicitors", payment=\$97,500.00, reference=" - no INV-XXXXX invoice reference found (Reg 9 breach)
Action	REVIEW

HIGH — Fee or disbursement entry lacks valid invoice reference

Rule ID	R07_FEE_WITHOUT_INVOICE
Regulation	LCA (Trust Account) Regulations 2008, Reg 9
Record	L035
Finding	entry L035 (matter M019): description='Payment - Final disbursement of retained costs to vendor', payment=\$5,000.00, reference="" - no INV-XXXXXX invoice reference found (Reg 9 breach)
Action	REVIEW

Summary

Severity	Count
CRITICAL	2
HIGH	8
Total	10